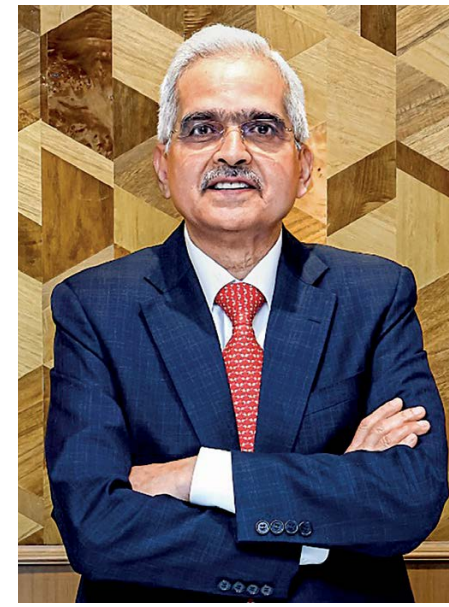

MILIND SHELTE

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CHANGED GUARD Sanjay Malhotra (left) takes over the RBI's reins from Shaktikanta Das

tained ever since high inflation began to hurt spending two years ago. He ardently believed lowering inflation by keeping interest rates high put more money in people's hands, which, in turn, spurred demand and growth.

It was certainly not what Union ministers Piyush Goyal and Nirmala Sitharaman wanted to hear, as both had expressed in public what many read as the Narendra Modi government's wish—bringing down interest rates to support growth.

What the RBI has done, though, is cut the cash reserve ratio (CRR)—the percentage of cash a commercial bank is required to keep in reserve with the central bank as against its total deposits—by 50 basis points to the pre-pandemic 4 per cent. This will release liquidity to the tune of Rs 1.16 lakh crore into the banking system, augmenting the banks' capacity to lend to industrial and retail customers.

The Centre has reason to be concerned. At 5.4 per cent, growth in the second quarter of FY25 was the lowest in nearly two years, and is likely to pull down the overall numbers for the year. The RBI had predicted growth of 7 per cent for FY25, a remarkably buoyant estimate in comparison to large economies worldwide, one that many economists even deemed overoptimistic. However, the central bank itself lowered that estimate to 6.6 per cent in its December 6 policy announcement. It did say, though, that the slowdown in Q2 was transitory and confined to a few manufacturing sectors and that it expected things to turn better in the second half of the fiscal.

The RBI's eagle eyes, meanwhile, were always kept more unstintingly focused on inflation. Although consumer price inflation eased to 5.4 per cent in November from 6.2 per cent in October as vegetable prices dropped, it was still way above the aspirational 4 per cent, the upper limit of the 2-4 per cent target the RBI has fixed for inflation. Vegetable prices, which had risen by a record 42 per cent year-on-year in October, dropped to 27 per cent in November, primarily driven by a reduction in tomato prices. "Food inflation pressures are likely to linger in Q3 and start easing only from Q4 of 2024-25, backed by seasonal correction in vegetables prices, Kharif harvest arrivals, likely good Rabi output and adequate cereal buffer stocks," said Das. The RBI has revised its average inflation projection for FY25 to 4.8 per cent.

The finance minister, on the other hand, had been batting for low interest rates, at a time when private investment had been sluggish, with companies reluctant to invest in more capacities as demand slumped. "At a time when we want industries to ramp up and build capacities, our bank interest rates will have to be far more affordable," she said in November. Goyal, too, nudged the RBI to lower rates a wee more forcefully, saying targeting food price inflation through interest rates was an "absolutely flawed theory". "Food inflation has nothing whatsoever to do with managing inflation. That's a demand-supply situation.... I think it's time policymakers and regulators... came to a considered view of whether food inflation should at all be a part of the decision-making for inflation or interest rates," he said at a media event.

But Das stood his ground, saying consumption needed to be perked up to address growth. "High inflation reduces the disposable income in the hands of consumers and dents private consumption, which negatively impacts the real GDP growth," he said. Moreover, vagaries of the weather, geopolitical uncertainties and financial market volatility pose upside risks to inflation. The MPC believes only durable price stability can lay strong and secure foundations for high growth, he said. Thus, staying committed to restoring the balance between inflation and growth was in the overall interest of the economy.

Economists see the likelihood of a rate cut in February 2025, when the MPC meets next. While Crisil did not specify how much the cut is likely to be,

MALHOTRA'S TRILEMMA

- **INFLATION: Keep it within 4-6 per cent target, while balancing growth objectives**
- **GROWTH: Lower interest rates to revive economy from Q2 slump**
- **RUPEE-DOLLAR PARITY: Rein in rupee's volatility vis-a-vis the US currency**